

25SMCV04580 25SMCV04580

County: los-angeles

Division: Civil Law and Motion

Department: I

Hearing date: 2026-09-16

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SM%20%2CI%2C09%2F16%2F2026

Source SHA-256: d64d2c7e2772b68f0cce6171058277d3d0e6c8db94bc3b18186198b44ee555d6

Case Number: 25SMCV04580 Hearing Date: September 16, 2026 Dept: I

Plaintiffs sued their carrier and the claims administrator for damages resulting from a water leak. Plaintiffs not only claim a breach of contract and bad faith, but also fraud. The demurrer is only as to the fraud-type causes of action and is brought only by defendant Wilhite.

Plaintiffs allege that when they returned home from a vacation on June 25, 2023, they discovered that a pipe had burst and water had flooded the property. They retained a restoration company for the next several days, but after remediation was completed, they discovered that the damage was more extensive than they had believed. Plaintiffs reported the loss to Bamboo (the administrator), which handled the claim under a reservation of rights. Plaintiffs submitted to recorded examinations with Bamboo's investigators about the incident and the property. On February 23, 2024, Bamboo wrote, over Wilhite's signature, and stated that it had completed the investigation and would accept the claim. Plaintiffs were offered \$168,237.06. However, on March 18, 2024, plaintiffs retained a public adjuster, and they inquired as to the payment status on certain elements of their claim. They demanded that the property be inspected by a licensed contractor. Bamboo then demanded plaintiffs produce tax records to justify their request for loss of rental income. Bamboo did retain a licensed contractor who inspected the property and determined that it would cost \$237,944.53 to repair. Bamboo told plaintiffs on May 14, 2024, that it accepted that estimate and would issue a supplemental check. However, plaintiffs

wrote to Bamboo on August 22, 2024, and said that they believed that the claim was worth \$1.42 million, and they provided an itemized list detailing that amount. They assert that they requested mediation, but rather than mediate, Bamboo took another examination of plaintiffs. After that, plaintiffs state Bamboo went silent aside from rote letters.

On March 31, 2025, Bamboo told plaintiffs that the claim was denied due to false material statements and concealment by plaintiffs during presentation of the claim. Plaintiffs say that they asked for information about what was misrepresented, but Bamboo provided no substantive response. Before the court is Chelsea Wilhite's demurrer. She is the Bamboo employee who wrote the February 2024 letter. Plaintiffs oppose.

Wilhite asks the court to take judicial notice of the SAC and various RFA responses that authenticate documents. The court will take judicial notice of the SAC and the RFA responses. To that extent, the request is GRANTED.

The gist of the demurrer is that the fraud causes of action (fifth and sixth causes of action) are not pled with the requisite specificity. The specificity requirement applies to both fraud and to negligent misrepresentation. Further, reliance, an element of both causes of action, must also be pled with sufficient specificity. (National Union Fire Ins. Co. v. Cambridge Integrated Services Group, Inc. (2009) 171 Cal.App.4th 35.) The misrepresentations are specifically alleged. They are that Bamboo had completed its investigation when it allegedly had not, and that it had accepted the claim when it allegedly had not, and that the letter so stating went out over Wilhite's signature. That is enough to satisfy the requisite pleading standards as to the nature of the fraud or misrepresentations. A more difficult question is whether those statements can lead to personal liability against Wilhite, who acted as an agent for Bamboo. The court has some doubts about that, given that the general rule is that an agent is not responsible for most torts that are attributable to the principal and that were done where the agency was disclosed and in the course and scope of the agency. But where the agent engages in intentional misconduct, there can be personal liability. While the court has some doubts as to the negligent misrepresentation tort (meaning the court has some doubts that Wilhite can be personally liable for negligent misrepresentation), it appears

that this tort is also covered in the exception. (Peredia v. HR Mobile Services, Inc. (2018) 25 Cal.App.5th 680.) To the extent the demurrer is based on the agency issue, then, it is unsuccessful. Reliance is also a basis for the demurrer. Wilhite argues that even if the letter was false, plaintiffs did not rely on it. Plaintiffs do allege that they allege that they hired a public adjuster rather than just accept the money and call it a day. But that is a different issue. There is no reason to believe that they would have acted differently had the offending language not been in the letter. But plaintiffs allege more than that. In paragraph 85 of the SAC, plaintiffs state that they "made certain decisions as to how the subject water loss and the claim should be managed. For example, plaintiffs began renovation at the Subject Property expecting that portion of the costs will be covered under the Policy, Plaintiffs decided to dispose some of their personal property expecting compensation for those items under the Policy, and similarly, Plaintiffs rented storage units to store their remaining personal property expecting payments under the Policy for the costs incurred in renting the units." That is enough. Whether this is truly material, or whether there is truly reliance, or whether Wilhite can be responsible for it personally will need to be decided on summary judgment or trial.

The demurrer is OVERRULED.
Wilhite has 30 days to answer.